Industrial Bank of Korea (024110 KS)

Top beneficiary of stronger won in 3Q26

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BUY (M)

Target price	W25,500 (M)
Previous target price	W25,500
Current price (Oct 26)	W19,140
Upside potential	33%

Market cap (Wbn)	15,263
Shares outstanding	797,425,867
Avg daily T/O (2M, Wbn)	19
Avg daily volume (2M, shrs)	925,651
52-week high/low (won)	28,550 / 19,110
Foreign ownership (%)	13.21%
Dividend yield (%)	3.50%
Major shareholders	Ministry of Strategy and Finance & others

Stock performance

(%)	1M	3M	12M
Absolute	(6.2)	(10.4)	(1.4)
Relative	21.5	9.7	(28.9)
Abs (US$)	(3.7)	(0.6)	7.1

3Q26 net profit in line with consensus

Industrial Bank of Korea (IBK) reported 3Q26 net profit attributable to controlling interest of W767.8bn, in line with consensus. One-off items included: 1) a foreign exchange valuation gain of W236.4bn; 2) W85.8bn in additional provisions reflecting interest rate hikes; and 3) W70.0bn in provisions related to an incident at its Chinese subsidiary. Net interest income rose by 0.2% QoQ, as the bank's NIM expanded by 2bp QoQ thanks to preemptive funding in 1H26, while won-denominated loans grew 0.8% QoQ. Non-interest income increased substantially QoQ, reflecting a W236.4bn foreign exchange gain from won appreciation in 2Q26, with sensitivity of W12.6bn per W10 move. SG&A expenses declined QoQ as the impact of the W86.0bn in performance bonuses recognized in 2Q26 faded. Credit costs came to W637.4bn. Excluding the W85.8bn in additional provisions for interest rate hikes and W70.0bn in provisions related to the Chinese subsidiary, credit costs rose slightly QoQ. CET1 ratio came to 11.48%.

4Q26 exchange rate sensitivity at W8.8bn per W10 move

In 4Q26, a W10 decline in the exchange rate will likely generate a gain of W8.8bn, down from W12.6bn in 3Q26. Although the exchange rate has continued to fall in 4Q26, leaving room for smaller gains, we view the reduced sensitivity as positive for the share price given concerns over a potential rise in the exchange rate.

Dividend policy unchanged

IBK plans to pay dividends twice in 2026: an interim dividend in July and a year-end dividend. The July dividend was set at W210 per share, in line with its existing plan to pay an interim dividend equivalent to 20% of the previous year's year-end dividend. In 2027, the bank plans to pay dividends three times. We expect the two quarterly dividends to each account for 15% of the total annual dividend, or 30% combined. While its CET1 ratio remains at or below 12.0%, IBK's shareholder return policy calls for a dividend payout ratio of 35% based on standalone earnings. We expect a year-end dividend of W890 per share.

Maintain BUY and target price of W25,500

We maintain BUY on IBK and our target price of W25,500. The expected dividend yield at end-2026 is 5.7%.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Net op revenue	2,470	18.3	10.7	2,321	6.4
SG&A expense	765	-0.9	-11.9	808	-5.4
Provisions	673	98.1	50.5	462	45.6
OP	1,031	5.6	12.7	1,050	-1.8
Consolidated NP	771	2.7	11.8	771	0.1
NP, CI	767.8	2.8	12.3	773.5	-0.7

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Net op revenue	8,128	8,588	9,025	9,152
OP	3,594	3,656	3,762	4,009
NP, CI	2,645	2,711	2,821	2,954
P/E (x)	4.3	6.2	5.4	5.2
P/B (x)	0.39	0.53	0.46	0.43
ROE (%)	8.1	7.7	7.5	7.4
ROA (%)	0.6	0.6	0.6	0.5

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Quarterly earnings (consolidated)

(Wbn, %)	3Q26P	Consensus	vs	YoY	QoQ	3Q25	2Q26
Net operating revenue	2,470	2,321	6.4	18.3	10.7	2,088	2,231
OP	1,031	1,050	-1.8	5.6	12.7	977	915
Net profit, CI	767.8	773.5	-0.7	2.8	12.3	747	684

Note: CI = controlling interest
Source: company data, Yuanta Securities

Earnings trend and forecast (consolidated)

(Wbn, %, %p)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E
Net op revenue	2,091	2,221	2,088	2,188	2,090	2,231	2,470	2,235	8,588	9,025
Net interest income	1,921	1,883	1,953	1,993	1,992	2,085	2,089	2,104	7,749	8,269
Non-interest income	170	338	135	195	98	146	381	132	839	756
Commission income	94	107	110	102	99	114	99	104	413	416
Other non-interest income	76	232	25	93	-1	33	281	27	426	340
SG&A expense	748	848	772	815	780	868	765	861	3,183	3,274
Pre-provisioning OP	1,343	1,373	1,317	1,373	1,310	1,362	1,705	1,374	5,406	5,751
Provisioning	319	446	340	646	377	447	673.4	491	1,750	1,989
OP	1,024	927	977	727	933	915	1,031	883	3,656	3,762
Non-operating profit	25	3	35	-54	41	17	33	5	9	95
Pre-tax profit	1,049	931	1,012	673	974	932	1,064	888	3,665	3,857
Consolidated net profit	814	694	751	459	753	690	771	624	2,719	2,838
Consol. net profit (CI)	809	693	747	463	749	684	768	621	2,711	2,821
Won-denominated loan growth	2.2	1.5	0.7	0.4	0.7	1.8	0.8	0.9	5.0	4.2
Portion of non-interest income	8.1	15.2	6.5	8.9	4.7	6.6	15.4	5.9	9.8	8.4
NIM (bank)	1.63	1.55	1.57	1.57	1.60	1.59	1.61	1.62	1.58	1.61
CIR	35.8	38.2	36.9	37.3	37.3	38.9	31.0	38.5	37.1	36.3
CCR	0.39	0.54	0.41	0.77	0.45	0.52	0.78	0.57	0.53	0.58
NPL ratio	1.34	1.37	1.35	1.28	1.28	1.27	1.31	1.30	1.3	1.3
NPL coverage ratio	111.3	105.7	106.0	107.7	105.2	100.9	100.0	99.8	107.7	99.8
CET-1	11.40	11.73	11.72	11.48	11.51	11.49	11.48	11.39	11.48	11.39
ROE	9.5	8.1	8.5	5.1	8.2	7.4	8.2	6.5	7.7	7.5
ROA	0.7	0.6	0.6	0.4	0.6	0.5	0.6	0.5	0.6	0.6
Equity	34,021	34,880	35,440	36,455	36,798	37,531	37,728	38,747	36,455	38,747
Asset	483,422	489,479	490,109	500,693	511,251	526,866	518,713	524,571	500,693	524,571

Note: CI = controlling interest
Source: company data, Yuanta Securities

Valuation table

	Formula	Unit	Old (Jul 9, 2026)	New (Oct 27, 2026)	Note
Cost of equity (COE)	(C=a+(b*c)+d)	%	9.1	9.5	
Risk-free rate	(a)	%	3.3	3.4	1-year monetary stabilization bond's recent 3-mo avg yield
Risk premium	(b)	%	5.1	5.1	
Beta	(c)		0.7	0.7	104-week adjusted beta
Ri	(d)	%	2.0	2.4	Reflected additionally given past COE level
Average ROE	(B)	%	7.1	7.4	2025-2027 average ROE
Permanent growth	(D)	%	4.6	4.5	Min (ROE x retention ratio, 30-yr KTB's recent 3-mo avg)
Target P/B	(A=(B-D)/(C-D))	X	0.56	0.57	
12mo-fwd BPS	(E)	won	45,297	44,768	
Target price	(A*E)	won	**25,500**	**25,500**	
Current price (Oct 26)		won		19,140	
Upside potential		%		33.2	

Source: company data, Yuanta Securities

Earnings forecast revision

(Wbn, %)	Old		New		Difference	
	2026E	2027E	2026E	2027E	2026E	2027E
Net operating revenue	9,025	9,152	8,864	9,325	(1.8)	-1.9
OP	3,762	4,009	3,735	4,024	(0.7)	-0.4
Net profit, CI	2,821	2,954	2,801	2,962	(0.7)	-0.3

Note: CI = controlling interest
Source: Yuanta Securities

Industrial Bank of Korea (024110 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Net interest income	7,892	7,749	8,269	8,605	8,895
Interest income	18,955	17,776	18,303	18,868	19,742
Interest expense	11,063	10,061	10,079	10,263	10,847
Non-interest income	236	839	756	547	573
Net commission	472	413	416	435	455
Other non-interest	-236	426	340	112	118
Net operating revenue	8,128	8,588	9,025	9,152	9,468
Selling and admin expense	2,813	3,183	3,274	3,413	3,554
Pre-provision operating profit	5,314	5,406	5,751	5,739	5,914
Provisions	1,720	1,750	1,989	1,730	1,732
Operating profit	3,594	3,656	3,762	4,009	4,182
Non-operating profit	-27	9	95	20	20
Pre-tax profit	3,568	3,665	3,857	4,029	4,202
Income tax	913	946	1,019	1,062	1,108
Tax rate	26	26	26	26	26
Consolidated net profit	2,654	2,719	2,838	2,967	3,094
Controlling interest	2,645	2,711	2,821	2,954	3,080
Non-controlling interest	10	8	17	14	14

Statement of financial position (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Cash & cash equivalents	18,083	24,259	13,409	14,092	14,875
Securities	94,706	101,194	110,169	115,786	122,213
Loans	343,900	357,806	380,279	401,276	423,277
Tangible and intangible assets	2,828	2,863	2,877	2,878	2,878
Other	12,702	14,571	17,837	17,283	18,673
Assets	472,220	500,693	524,571	551,315	581,916
Deposits	158,256	168,163	166,920	174,725	184,447
Borrowings	237,928	253,771	270,141	284,145	300,047
Other	41,805	41,903	48,763	51,455	54,276
Liabilities	437,989	463,837	485,824	510,325	538,770
Equity, controlling interest	33,947	36,455	38,747	40,991	43,146
Capital stock	4,211	4,211	4,211	4,211	4,211
Hybrid bond	4,313	4,683	5,292	5,292	5,292
Capital surplus	1,170	1,179	1,177	1,177	1,177
Retained earnings	23,593	25,396	27,470	29,713	31,869
Other comprehensive income	659	986	598	598	598
Equity, non-controlling interest	284	401	398	398	398
Equities	34,231	36,856	39,145	41,388	43,544

Growth (%)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
NIM (bank)	1.70	1.58	1.61	1.60	1.56
ROE	8.1	7.7	7.5	7.4	7.3
ROA	0.6	0.6	0.6	0.5	0.5
CIR	34.6	37.1	36.3	37.3	37.5
Asset growth	5.3	6.0	4.8	5.1	5.6
Loan growth	8.9	4.0	6.3	5.5	5.5
Net profit growth	-0.9	2.5	4.0	4.7	4.3

Valuations (won, x, %)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS	3,316	3,400	3,537	3,704	3,863
BPS	37,161	39,843	41,954	44,768	47,471
DPS	1,065	1,048	1,100	1,160	1,220
P/E	4.3	6.2	5.4	5.2	5.0
P/B	0.4	0.5	0.5	0.4	0.4
Dividend payout ratio	32.1	30.8	34.9	34.9	35.0
Dividend yield	7.4	5.0	5.7	6.1	6.4

Adequacy indicators (%)

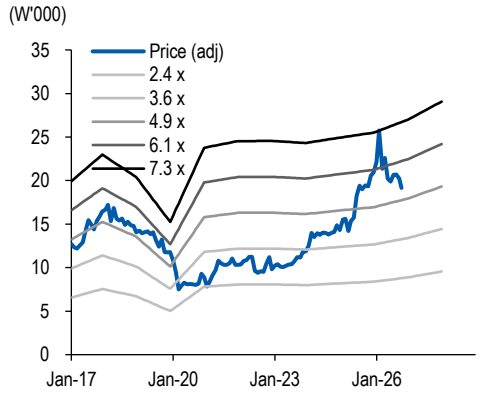
FY ends Dec	2024A	2025A	2026E	2027E	2028E
BIS capital adequacy ratio	14.7	14.8	14.9	14.9	14.8
Tier 1 capital ratio	13.0	13.3	13.3	13.4	13.4
CET1 capital ratio	11.3	11.5	11.4	11.5	11.6

Asset quality indicators (x, %)

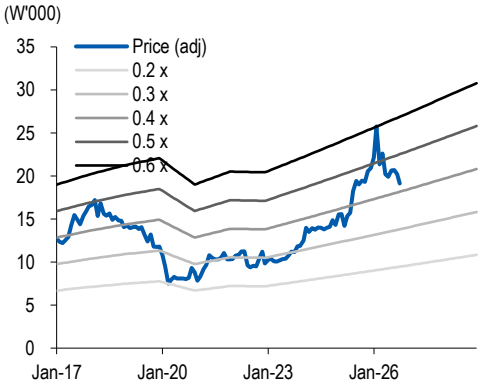
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Substandard and below ratio	1.3	1.3	1.3	1.3	1.3
NPL coverage ratio	114.0	107.7	99.8	100.3	101.0
CCR	0.6	0.5	0.58	0.48	0.46

Note: CI = controlling interest
EPS, BPS, P/E and P/B are based on controlling interest.
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price.
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior.
Source: Company data, Yuanta Securities

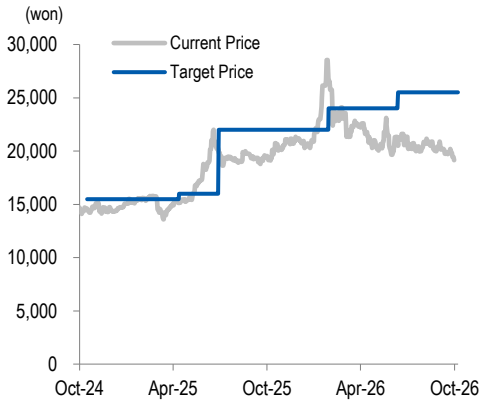
P/E band chart



P/B band chart



Industrial Bank of Korea (024110 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/27	BUY	25,500	1 yr		
2026/07/09	BUY	25,500	1 yr		
2026/02/24	HOLD	24,000	1 yr	-8.54	-18.08
2025/07/25	HOLD	22,000	1 yr	-7.13	29.77
2025/05/09	HOLD	16,000	1 yr	10.65	37.50
2024/11/11	HOLD	15,500	1 yr	-3.89	1.94
	Analyst changed				
2024/03/11	BUY	17,000	1 yr	-17.95	-7.65

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 27, 2026

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Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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